

Multiple Choice (10 marks)

1. The appropriate fiscal policy to remedy a recession is to
 - (a) increase government spending and taxes.
 - (b) reduce government spending and increase taxes.
 - (c) increase taxes without changing government spending.
 - (d) maintain current levels of government spending and taxes.
 - (e) reduce government spending and taxes.
2. Output in country X is 30000 units and there are 3000 persons working while country Z has an output of 40000 units and 8000 workers.
 - (a) The productivity of labor in country X is 75 percent higher than in country Z.
 - (b) The productivity of labor in country X is 33 percent higher than in country Z.
 - (c) The productivity of labor in country Z is 33 percent higher than in country X.
 - (d) The productivity of labor in country Z is 50 percent higher than in country X.
 - (e) The productivity of labor in country X is 50 percent higher than in country Z.
3. What is credit?
 - (a) The ability to buy goods and services
 - (b) A financial instrument that represents ownership in a company
 - (c) A system where goods and services are exchanged for commodities
 - (d) A government-issued bond or security
 - (e) A method of payment
4. Why did the institutionalists of the early twentieth century reject laissez-faire?
 - (a) They held the view that government intervention would reduce economic freedom.
 - (b) They were convinced that laissez-faire would ensure equitable wealth distribution.
 - (c) They were disturbed by the wide spread poverty and the fluctuations of the business cycle.
 - (d) They thought laissez-faire would lead to more efficient and ethical business practices.
 - (e) They favored the principles of socialism.
5. Education makes Chris a better worker, voter, parent, and citizen. Because the benefits from education go beyond those that Chris enjoys himself, education provides

- (a) no externalities and should not be subsidized
- (b) decreasing marginal utility and should be taxed
- (c) increasing marginal utility and should be subsidized
- (d) increasing marginal utility and should not be subsidized
- (e) externalities and should be taxed

True / False (10 marks)

Answer True or False

6. True or False: The United States would only import food during agricultural crises, indicating a lack of efficiency in its farming sector.
7. True or False: In the long run, the aggregate supply (AS) curve is always upward sloping due to persistent inflationary pressures.
8. True or False: Depreciation of the dollar is likely to increase exports by making U.S. goods cheaper for foreign buyers.
9. True or False: When disposable income increases by X , *saving increases by less than X* due to the marginal propensity to consume.
10. True or False: The correct answer to 'Consider the following equation and determine the class of model that it best represents $y_{it} = \alpha + \beta_{it} + \mu_i + \nu_{it}$ ' is 'A pure time series model'.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of rejecting the null hypothesis in classical hypothesis testing. Why is it incorrect to assert that this automatically accepts the alternative hypothesis?
12. Discuss the factors that contribute to the expectation of relatively free entry and exit in monopolistically competitive industries, focusing on the role of long-term contractual obligations for suppliers.

End of Paper